

CraftCapital

A Verified B2B Marketplace + Procurement Assistance Platform for Rural Artisans

Pilot: Terracotta & Clay Home Décor — Kolkata

Business Plan — Final Revised Version

MBA Entrepreneurship Project

1. The Problem Statement

West Bengal's terracotta and clay-craft clusters (e.g. Panchmura and Sonamukhi in Bankura, and the clay-doll makers of Krishnanagar, Nadia) sustain thousands of artisan households, but the route from workshop to buyer remains broken in four consistent ways:

- Dependence on middlemen: Traders who visit clusters buy in bulk at low prices and capture most of the retail margin; artisans rarely deal directly with the end buyer.
- Poor market access: Beyond seasonal melas and exhibitions, artisans have no reliable, year-round channel to reach institutional or urban buyers.
- Fragmented, low-trust discovery: Demand is scattered across informal Instagram pages, one-off WhatsApp forwards, and word-of-mouth. Buyers have no consolidated, trustworthy place to discover verified artisans.
- No credibility signal or procurement support for bulk/institutional buyers: A corporate gifting company or boutique hotel sourcing 200 units cannot easily verify an artisan's production capacity, quality consistency, reliability, or manage the sourcing process before placing an order.

This is a scoped-down, practical version of the earlier CraftCapital concept. The original plan also proposed solving artisans' working-capital and supply-chain problems; both were dropped after professor feedback because they were operationally and financially infeasible for an early-stage venture. This version focuses on market access, trust, and a practical procurement-assistance layer, without lending money or owning logistics.

2. Market Gap Analysis

Four categories of channels currently serve artisans, and each leaves an important gap open:

Channel	What it offers	What's missing
Government schemes (PM Vishwakarma, ODOP, SFURTI)	Training, tool kits, occasional credit support	No ongoing market linkage, buyer discovery, or procurement assistance
E-commerce platforms (Amazon Karigar, Flipkart Samarth, Etsy)	A B2C storefront where artisans can list products	Built mainly for individual consumer orders, not verified bulk/B2B buyers; artisan still manages photography, listing, and logistics alone
Informal social channels (Instagram pages, WhatsApp groups, word-of-mouth)	Low-cost and easy to start	Unstructured, no discovery layer, and no trust or verification signal for a buyer evaluating an unfamiliar artisan

Melas, exhibitions & government emporiums	Face-to-face trust and direct sales	One-off and seasonal; no recurring, scalable institutional sourcing or procurement support
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Source: Publicly available scheme details (PM Vishwakarma, ODOP, SFURTI) and platform policies of Amazon Karigar, Flipkart Samarth and Etsy, as of 2026; informal-channel and mela characteristics are the author's field observation, not a cited statistic.

The missing piece is a channel that combines (a) curated, organized discovery for buyers, (b) verified B2B ordering, (c) a reputation layer, and (d) practical procurement assistance for institutional orders — for a single, well-defined product category. CraftCapital is built to close that specific gap, starting narrow rather than attempting to solve every artisan problem at once.

3. Executive Summary

CraftCapital is a verified B2B marketplace and procurement-assistance platform connecting West Bengal's terracotta and clay-craft artisans directly to institutional buyers — corporate gifting companies, home-décor retailers, boutique hotels, and interior designers — without artisans routing through middlemen.

CraftCapital does more than list artisans. For institutional buyers with bulk requirements, it helps with the sourcing process: understanding the buyer's requirement, finding suitable verified artisans, comparing products, checking production capacity, coordinating samples, confirming orders, and coordinating third-party delivery. CraftCapital does not own inventory or a delivery fleet.

Per the professor's guidance to start small, the pilot is deliberately narrow: one product category (terracotta and clay home décor), one city (Kolkata) for the buyer side, and two established artisan clusters (Panchmura and Krishnanagar) for the supply side.

Customer acquisition borrows a proven pattern from hyperlocal city newsletters: build a free, curated audience first, then monetize once engagement is established. CraftCapital will run a weekly 'Artisan Spotlight' digest — WhatsApp broadcast, email, and mirrored on a simple web page ('Kolkata Craft Weekly') — showcasing new product drops and craft stories from the pilot clusters. It will be distributed to a curated list of institutional buyers, allowing buyers to browse past issues anytime, before asking anyone to transact.

The digest solves the two-sided marketplace cold-start problem cheaply, while procurement assistance gives buyers a clear reason to use CraftCapital for actual B2B sourcing.

The venture does not lend money to artisans and does not own inventory, warehousing, or delivery fleets. Revenue comes mainly from a marketplace/procurement commission on completed orders, supported by optional buyer subscriptions and sponsored placement in the digest. This keeps the business asset-light while making the commission directly connected to successful procurement transactions.

The first-year objective is controlled validation rather than aggressive scaling. The business will test buyer acquisition, AOV, repeat ordering, acceptable commission, and procurement workload before expanding.

4. Target Market and Segmentation

Supply side

- Individual terracotta/clay artisans in Panchmura & Sonamukhi (Bankura) and Krishnanagar (Nadia) clusters.

- SHG- and cooperative-organized artisan groups — preferred first, since group structure simplifies verification and onboarding versus reaching individuals one by one.

Demand side (primary buyer segments)

Segment	Why they buy	Typical order pattern
Corporate gifting companies	Festive, onboarding, and client-gifting needs; authentic, story-led products	Bulk, seasonal spikes (Diwali, year-end)
Home décor & boutique retail stores	Differentiated, handmade inventory for urban customers	Recurring monthly restocking
Boutique hotels & hospitality	Décor and in-room accents with local, authentic character	One-time fit-out + periodic refresh
Interior designers	Distinctive pieces for client projects	Project-based, irregular but high value

Source: Author's segmentation, based on general B2B gifting/décor procurement patterns; buying frequency and rationale to be confirmed via buyer interviews.

Export houses are a plausible future segment but are deliberately excluded from the pilot — export compliance and logistics add complexity the pilot is designed to avoid.

5. Total Market Size

Market size is estimated two ways: the chain-ratio (demand-side, top-down) and end-use (supply-side, bottom-up) methods. Each step shows the midpoint assumption. All narrowing ratios are working assumptions to be validated through a direct campus/industry survey.

A. Chain Ratio Method (demand-side, TAM → SAM → addressable Year-1 demand)

Step	Metric	Assumption	Calculation	Result
1	India handicraft market (2024)	\$4.56B; ~₹83/\$1	$\$4.56B \times ₹83$	₹37,848 Cr
2	× Organized B2B/institutional share	15–20% (mid 17.5%)	$₹37,848 \text{ Cr} \times 17.5\%$	₹6,623 Cr
3	× Eastern India / West Bengal share	8–10% (mid 9%)	$₹6,623 \text{ Cr} \times 9\%$	₹596 Cr
4	× Kolkata's share of Eastern India institutional buying	~40%	$₹596 \text{ Cr} \times 40\%$	₹238 Cr
5	× Terracotta/clay share of total handicraft category mix	~2%	$₹238 \text{ Cr} \times 2\%$	≈ ₹4.8 Cr

The chain-ratio calculation gives approximately ₹4.8 Cr of addressable Year-1 institutional demand for terracotta/clay décor in Kolkata at midpoint assumptions. Using the full 15–20% and 8–10% ranges moves the result between roughly ₹3.3 Cr and ₹6.4 Cr.

Source: Step 1 figure and USD/INR conversion — Ministry of Textiles / Economic Survey trade estimate, as cited in the original CraftCapital plan, converted at an illustrative ₹83/\$1. Steps 2–5 are author's assumptions and must be validated through the planned buyer survey.

B. End-Use Method (supply-side, production-based cross-check)

Step	Metric	Assumption	Calculation	Result
1	Active artisan households (Panchmura + Krishnanagar)	1,500–2,500 (mid 2,000)	—	2,000 households
2	× Avg. annual saleable output per household	₹60,000–₹1,20,000 (mid ₹90,000)	$2,000 \times ₹90,000$	₹18 Cr/year
3	× % reachable/onboardable via CraftCapital, Year 1–2	5–8% (mid 6.5%)	$₹18 \text{ Cr} \times 6.5\%$	≈ ₹1.17 Cr

Realistically capturable supply from the two pilot clusters is estimated at ≈ ₹1.17 Cr in Year 1–2. This is smaller than the ₹4.8 Cr demand-side estimate, suggesting that initial artisan onboarding and supply development may be a bigger constraint than buyer demand.

Source: Household count and output-per-household are author's estimates based on general knowledge of West Bengal terracotta cluster scale, not a published census figure. To be confirmed through a direct cluster-level survey.

Both methods land in the same single-digit-crore range for a one-category, one-city pilot — large enough to be meaningful, small enough to validate quickly with primary research.

6. Revenue Model — Streams & Pricing

Stream	Pricing	Role
Marketplace + procurement commission	10% of completed transaction value	Primary revenue. The fee covers verified supplier discovery and practical B2B procurement assistance such as requirement matching, supplier comparison, sample coordination, order confirmation, and third-party delivery coordination.
Premium buyer membership	Target flat annual fee for priority access & saved supplier lists	Secondary recurring revenue from repeat institutional buyers.
Sponsored digest placement	Small flat fee for featured placement in weekly Artisan Spotlight	Audience monetization after engagement is proven.
Listing & catalog placement fees	Optional fee for enhanced/featured artisan listings	Secondary, opt-in.
Courier partner referrals	Referral commission from third-party courier partners	Minor; CraftCapital never owns logistics or holds inventory.

The 10% commission is a target assumption supported by the expanded procurement-assistance role, not a validated market fact. Final rates should be tested with pilot buyers and artisans.

7. Market Opportunity

- Government tailwinds: PM Vishwakarma and ODOP are actively promoting artisan visibility and formalization, which can lower the cost of artisan outreach and onboarding.

- Rising urban demand for authentic, handmade, and sustainable products — corporate gifting in particular has shifted toward story-led, local products over generic hampers.
- Post-pandemic comfort with digital B2B sourcing means institutional buyers no longer require an in-person relationship before ordering.
- No incumbent currently combines curated discovery, verified B2B ordering, and procurement assistance for a single focused craft category — the gap identified in Section 2 remains open.

Source: Government scheme names — publicly available program information (PM Vishwakarma, ODOP), as of 2026. Demand-shift and digital-comfort observations are the author's interpretation, not survey-backed figures.

8. Unit Economics

Metric	Year 1	Year 2	Year 3
Average Order Value (AOV)	₹12,000	₹15,000	₹15,000
Commission rate	10%	10%	10%
Orders per active buyer/year	3	3	3
Revenue per order	₹1,200	₹1,500	₹1,500
Annual commission revenue per active buyer	₹3,600	₹4,500	₹4,500
Premium membership	Target ₹5,000/year; partial adoption	Target ₹5,000/year; partial adoption	Target ₹5,000/year; partial adoption
CAC	₹250–400 initially	Expected to reduce with referrals/repeat buyers	Expected to reduce further
Payback	< 1 order	< 1 order	< 1 order

The unit economics improve as the business moves from pilot to larger institutional orders. The 10% commission is supported by the procurement-assistance service rather than simple product listing.

AOV, repeat orders, CAC, membership adoption and commission are working assumptions to be validated through the pilot.

9. Competitive Landscape

Player	Model	Gap vs. CraftCapital
Amazon Karigar / Flipkart Samarth	B2C marketplace for artisan products	Consumer-oriented checkout; no focused verified B2B procurement workflow or buyer digest.
Etsy / Instagram artisan pages	Individual storefronts, informal discovery	No common verification or procurement support; buyer must find and coordinate sellers independently.
Government emporiums (e.g. Manjusha)	Physical retail, GI-tag promotion	Offline only; no recurring institutional sourcing channel or digital procurement workflow.
Local B2B trade agents (middlemen)	Bulk sourcing relationships	Opaque pricing, artisans capture less margin, and no digital trust layer or standardized discovery.
CraftCapital	Verified B2B marketplace + procurement assistance + curated buyer digest	Combines discovery, verification, buyer requirement matching, procurement support, and B2B ordering — the open gap.

Source: Publicly available information on each platform's business model and positioning, as of 2026.

10. Financial Projections — 3 Years

This section uses one financial projection only. There are no separate conservative and target cases. Year 1 is a controlled validation year with a manageable loss; Year 2 becomes profitable as buyer count and AOV increase; Year 3 scales the same model across Eastern India.

Metric	Year 1 Kolkata Pilot	Year 2 Expansion	Year 3 Eastern India
Artisans onboarded	80	300	800
Active institutional buyers	50	300	500
Average Order Value (AOV)	₹12,000	₹15,000	₹15,000
Orders per buyer/year	3	3	3
Estimated orders	$50 \times 3 = 150$	$300 \times 3 = 900$	$500 \times 3 = 1,500$
GMV	$150 \times ₹12,000 = ₹18 \text{ L}$	$900 \times ₹15,000 = ₹1.35 \text{ Cr}$	$1,500 \times ₹15,000 = ₹2.25 \text{ Cr}$
Commission rate	10%	10%	10%
Commission revenue	$₹18 \text{ L} \times 10\% = ₹1.8 \text{ L}$	$₹1.35 \text{ Cr} \times 10\% = ₹13.5 \text{ L}$	$₹2.25 \text{ Cr} \times 10\% = ₹22.5 \text{ L}$
Membership + sponsorship	₹0.75 L	₹5 L	₹9 L
Total revenue	$₹1.8 \text{ L} + ₹0.75 \text{ L} = ₹2.55 \text{ L}$	$₹13.5 \text{ L} + ₹5 \text{ L} = ₹18.5 \text{ L}$	$₹22.5 \text{ L} + ₹9 \text{ L} = ₹31.5 \text{ L}$
Operating cost	₹6 L	₹14 L	₹28 L
Operating profit / (loss)	$₹2.55 \text{ L} - ₹6 \text{ L} = (₹3.45 \text{ L})$	$₹18.5 \text{ L} - ₹14 \text{ L} = ₹4.5 \text{ L}$	$₹31.5 \text{ L} - ₹28 \text{ L} = ₹3.5 \text{ L}$

Financial logic: Active buyers $\times$ Orders per buyer $\times$ AOV = GMV. GMV $\times$ 10% = commission revenue. Commission + membership/sponsorship = total revenue. Total revenue – operating cost = operating profit/loss.

Year 1 is intentionally loss-making because CraftCapital is validating buyer acquisition, procurement workflow, repeat demand, and willingness to pay. Year 2 is designed to become profitable through higher AOV and buyer scale. Year 3 focuses on Eastern India expansion while remaining asset-light.

These are projections, not actual results. Buyer count, AOV, order frequency, commission, membership/sponsorship and operating costs must be validated during the pilot.

11. Operating Cost — Lean Founder-Led Model

Because the founder is a software developer, CraftCapital does not need a full-time developer in the early stage. The founder handles software development, product management, major buyer relationships, and strategy.

Cost category	Year-1 budget	What it covers
Operations / artisan coordinator	₹2.40 L	One junior employee at about ₹20,000/month
Technology	₹0.75 L	Cloud/VPS, domain, database, backups, email, APIs and software tools

Sales & marketing	₹0.75 L	LinkedIn/outreach tools, catalogs, small campaigns, meetings and events
Artisan verification & travel	₹1.00 L	Cluster visits, local travel, samples, photography/materials
Accounting / legal / compliance	₹0.40 L	Outsourced CA/accounting and basic legal/compliance support
Coworking / meetings	₹0.20 L	Meeting rooms and occasional workspace; no permanent office
WhatsApp / email / business tools	₹0.20 L	Messaging, email and related software
Contingency	₹0.30 L	Unexpected small operating expenses
TOTAL	₹6.00 L	Lean Year-1 operating budget

12. Go-to-Market Strategy

Phase 1 (Months 1–3): Audience first, before transactions

- Launch a free weekly digest — 'Kolkata Craft Weekly' — curating new terracotta product drops, artisan stories, and cluster news, sent via WhatsApp broadcast and email and also published on the web platform.
- Build the subscriber base by directly approaching corporate gifting managers, boutique/décor store owners, interior designers, and hospitality procurement contacts through LinkedIn outreach, design-school networks, and small in-person visits.
- No transactions initially — the goal is trust, reach, and learning at near-zero paid acquisition cost.

Phase 2 (Months 3–6): Convert the audience into the marketplace + procurement service

- Onboard 50–100 verified artisans from Panchmura and Krishnanagar, using SHG/cooperative endorsement for trust verification.
- Invite the digest's most-engaged subscribers to place their first verified marketplace order.
- Provide procurement assistance: capture buyer requirements, shortlist suitable artisans, compare suppliers, coordinate samples, confirm production capacity, and coordinate third-party courier delivery.
- CraftCapital does not buy or hold inventory. The platform facilitates the transaction and coordination between buyer, artisan, and courier partner.

Phase 3 (Months 6–12): Monetize and improve unit economics

- Introduce the 10% procurement/marketplace commission on completed transactions once buyers recognize the value of the sourcing service.
- Introduce premium buyer membership for priority access, saved suppliers, early product access, and procurement support.
- Introduce sponsored digest placements once weekly open and engagement rates are proven.
- Track AOV, repeat-order rate, conversion rate, CAC, procurement time per order, and contribution margin.
- Only after the terracotta pilot shows repeat orders and positive buyer feedback should CraftCapital evaluate adding a second craft category or a second city.
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13. Key KPIs for the Pilot

KPI	Why it matters	Initial target / learning goal
Institutional buyer contacts	Measures audience-building	300–500 contacts in the first two quarters
Active paying buyers	Measures marketplace conversion	30–50 initial buyers; scale toward 50+ as the model proves
Average order value	Determines revenue per transaction	Test whether ₹12,000+ is achievable
Orders per buyer/year	Measures repeat demand	Target 3; improve if buyer behavior supports it
Commission acceptance	Tests willingness to pay	Validate 10% with buyers/artisans
CAC	Tests acquisition efficiency	Keep approximately ₹250–400 initially
Repeat-order rate	Critical for profitability	Increase through strong procurement support
Procurement turnaround time	Measures service efficiency	Track from buyer requirement to confirmed order
Artisan fulfillment reliability	Measures supply quality	Track delays, defects, cancellations and capacity

14. Conclusion & Next Steps

This revised version of CraftCapital remains deliberately small and simple: one craft category, one city, no lending, no owned logistics, and a very lean technology setup. The major strategic change is that CraftCapital is no longer positioned as only a marketplace. It is a verified B2B marketplace with procurement assistance for institutional buyers.

This procurement layer gives CraftCapital a stronger value proposition and provides a clearer reason for a 10% transaction commission. The business remains asset-light because it does not own inventory, warehouses, or delivery fleets.

The financial strategy is also more realistic. Year 1 is a controlled validation year with a manageable loss, while Year 2 is designed to become profitable. The projection uses one consistent case: AOV of ₹12,000 in Year 1 and ₹15,000 in Years 2 and 3, with 10% commission and three orders per active buyer per year.

Immediate Next Steps

- Run the primary survey among Kolkata-based institutional buyers to validate AOV, order frequency, procurement pain points, and willingness to pay a 10% commission.
- Launch the first issue of the weekly digest and track subscriber growth and open rates for 4–6 weeks before scaling artisan onboarding.
- Sign 10 anchor institutional buyers and onboard the first 20 verified artisans as a proof-of-concept cohort.
- Test at least 3–5 real procurement requirements end-to-end and measure the time and cost involved.
- Use the first transaction data to update AOV, repeat-order rate, CAC, commission acceptance, and procurement costs.
- Revisit expansion to a second craft category only after Phase 2 conversion and repeat-order data is available.

15. Final Financial Logic

Buyers × Orders × AOV = GMV

GMV × 10% = Commission Revenue

Commission + Membership + Sponsorship = Total Revenue

Total Revenue – Operating Cost = Operating Profit / Loss

Financial figures are planning assumptions, not guaranteed results. The original market-size assumptions and source notes are retained where they were not directly affected by the strategic change. The revised procurement model, pricing and financial assumptions should be validated through primary research and pilot transactions.